

the state of the economy and the industry to arrive at a logical conclusion and he must act on such conclusions.

Ratios are a terrific tool for interpreting financial statements but their usefulness depends entirely on their logical and intelligent interpretation.

Market Value

Ultimately the market value of a share is what matters to an investor. An investor would purchase a share if, in his perception, its price is low or reasonable and has growth potential. On the other hand, if a share is priced high an investor would want to sell it. After all, the cardinal rule of investment in shares is to buy cheap, sell dear or, as Baron Rothschild is credited to have said, “Buy sheep and sell deer.” Additionally, the market value of a share reflects the regard investors and the general public have of the company.

Market value ratios also help an investor determine the length of time it would take to recover his or her investment.